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– Kiatnakin Phatra Securities Public Company Limited

Asia FI & FX Strategy Viewpoint

ASEAN Strategy: Defending FX against capital flight

28 July 2026

GEM FI & FX Strategy
Asia

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ASEAN: Depleting reserves buffer fighting capital flight

Many ASEAN central banks are facing depleting FX reserves ammunition while defending their currencies against volatility induced by capital outflows or USD strength this year. The challenge has been most acute for CA deficit economies, such as Indonesia and Philippines, facing additional headwinds from oil price spike. While CB smoothing has been the initial line of defense, extended decline in reserves has pushed CBs into reserves preservation mode and lean towards other measures or rate-hikes.

Indonesia has faced most pressure this year, leading to more calibrated intervention recently around 18,000 level. Over the years, Indonesia and Malaysia have built-up large short USD forward positions which helped in keeping headline reserves up while also limiting hedging costs and avoiding domestic liquidity tightening. Indonesia has supplemented intervention with measures to raise short-term debt flows, interest rate hikes and larger external sovereign borrowing. On the other hand, Thailand remains most resilient in terms of reserves buffer, only marginally drawing reserves after a multi-year surge, which is also consistent with low policy resistance against THB weakness.

Having received numerous queries on this topic, we highlight regional trends in domestic capital flight indicators, including FX deposits or outflows captured in BoP via portfolio, banking and unaccounted flows (errors and omissions).

FX Deposits – Within CB's reach as augmented reserves

Demand for FX deposits since 2021 has been a consistent headwind to regional currencies, even for countries with BoP surplus otherwise and stable fundamentals (Indonesia). Narrower rate-differentials vs high US rates likely kept these deposits intact even during Fed cutting cycle in 2024-25. FX deposits have seen a sharp revival this year in Indonesia and Malaysia, despite heightened CB oversight. Nevertheless, FX deposits in onshore banks have also provided additional reserves buffer, being well within the reach of respective CBs to tap via short-term FX instruments including swaps, deposits or bills.

Varying FX impact of portfolio, banking or BoP errors

Apart from onshore build-up of FX deposits, BoP categories that capture flows from domestic corporates or investors can also throw some light on capital flight trends. We focus on three channels in the financial account categories, including domestic portfolio outflows, banking flows and unaccounted flows in BoP errors.

Indonesia shows consistent outflows across all three channels over the years but banking flows appear most dominant in driving IDR weakness. Malaysia shows large outflows across all the channels as well but CA buffer and BNM's oversight likely helps in mitigating impact on MYR. Similarly, Thailand's large portfolio outflows appear to be mostly hedged, exhibiting little correlation with THB moves. Thailand's large inflows on errors since 2020 stand in sharp contrast with consistent outflows across rest of the region.

Glossary:

ASEAN: South-east Asian nations

BI: Bank Indonesia

BoP: Balance of payments

BNM: Bank Negara Malaysia

BoT: Bank of Thailand

BSP: Bangko Sentral Ng Pilipinas

CA: Current account

CB: Central bank

EM: Emerging markets

FDI: Foreign direct investment

MAS: Monetary Authority of Singapore

NEER: Nominal effective exchange rate

ASEAN: Defending FX against capital flight

Reserves drain from defending FX reaching pain threshold

FX defense has strained regional FX reserves…

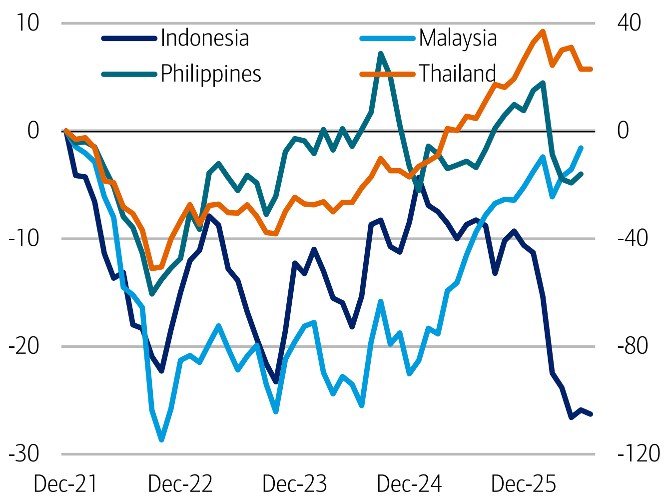
Within ASEAN, countries running CA deficits, including Indonesia and Philippines, have been fighting against currency depreciation pressures this year. Oil price spike added additional headwind by widening their CA deficits or for Thailand, flipping CA temporarily into deficit. With capital flows deterred by risk-aversion amidst volatile markets, CB smoothing has been the initial line of defense (See Exhibit 2).

But extended period of reserves decline carries its own risk of market extrapolating the trend into an unsustainable spiral. Recently, that pushed the regional central banks into reserves preservation mode and to lean more heavily on other measures to raise capital flows or tighten interest rates in order to stabilize FX.

Indonesia has lost FX reserves at the most rapid pace within the region this year (See Exhibit 1). Even if USD weakens, BI may only be able to hold-off for a short-while before gradually building-up reserves buffer again (similar to other episodes in 2022-24). On the other hand, Thailand's net reserves have defied the regional trend due to large BoP surplus over the last few years. Thailand's reserves changes also show higher beta to USD moves which points to higher proportion of non-USD assets compared to peers.

Exhibit 1: Indonesia has seen the sharpest decline in net reserves, while defending IDR this year.

Net reserves change since Dec'21 (USD Bn, Thailand on rhs) (Dec'21-Jun'26)



Source: BofA Global Research, Bloomberg

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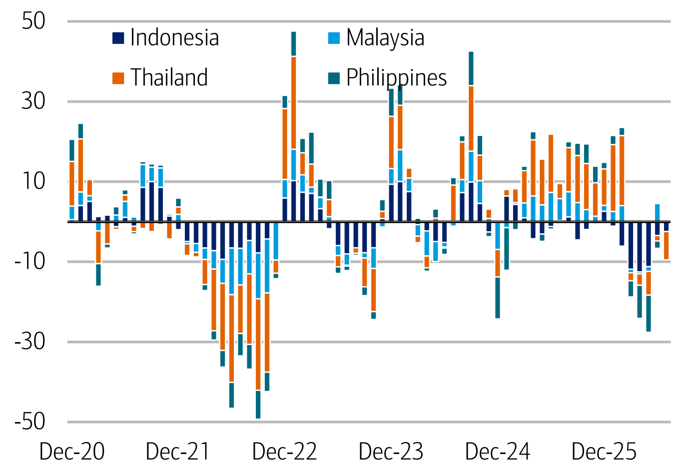
Exhibit 2: Malaysia's net reserves improved despite stronger USD, in contrast with rest of the region.

Net reserves (spot + FX forwards) rolling 3 months change (USD Bn) (Dec'20-Jun'26)



Source: BofA Global Research, Bloomberg

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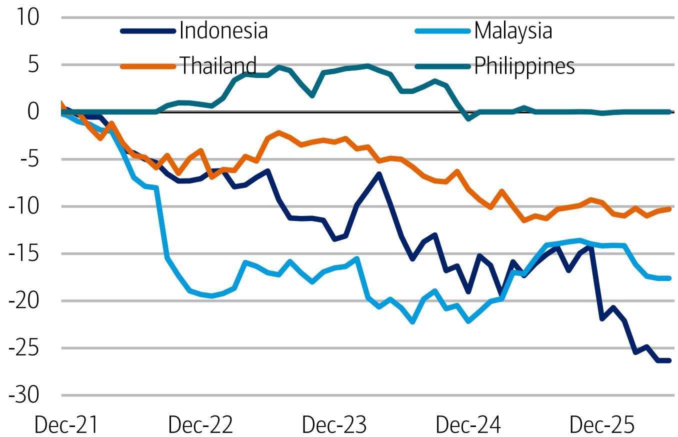
And built-up large short USD forward positions

While CBs focus mostly on headline spot reserves coverage, investors also closely track net reserves (after adjusting for forward USD positions). Wherever available, adjusting for short term instruments, like FX term deposits or bills, adds further clarity to the underlying trends in FX reserves.

Key reasons behind utilizing forward sales instead of spot USDs usually include expanding reserves ammunition while preserving headline spot reserves, capping FX hedging costs for foreigners and corporates, and avoiding liquidity drainage from decline in CB's net foreign assets. These considerations have likely led Indonesia and Malaysia to accumulate large short forward positions over the years (See Exhibit 3 and Exhibit 4).

FX swap operations are also aimed at managing impact of FX intervention on domestic banking liquidity. MAS actively uses FX swaps for liquidity operations. BNM also justifies large forward positions to avoid tightening banking liquidity. Thailand maintains net long forwards, but has reduced their size over the last few years in order to inject liquidity.

Exhibit 3: Indonesia and Malaysia stand out in using forwards to intervene to maintain stable spot reserves and avoid liquidity drain.
Change in FX Forward positions of central banks since Dec'21 (USD Bn) (Dec'21-May'26)



Source: BofA Global Research, Bloomberg

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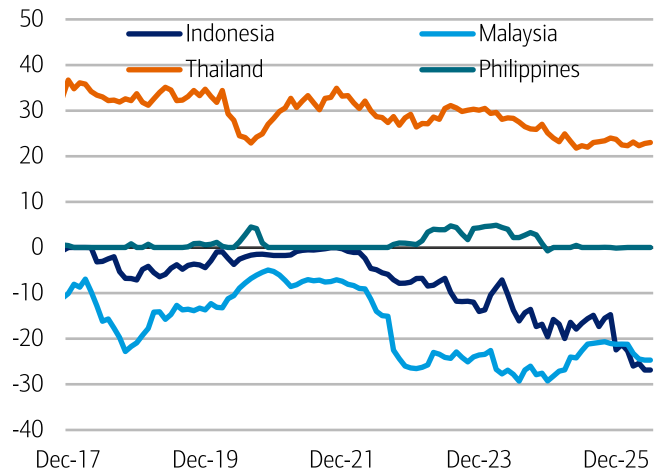
Exhibit 4: Thailand has reduced net long USD in forwards and shifted to spot accumulation, likely for managing banking liquidity injections.
FX Forward positions (USD Bn) (Dec'17-May'26)



Source: BofA Global Research, Bloomberg

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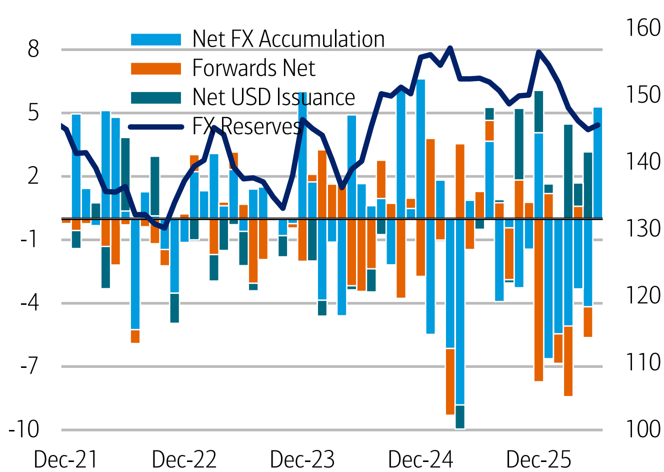
Increasing reliance on external debt issuances

One of the more sustainable ways to provide cover against depleting reserves is to increase reliance on external debt funding. This is particularly relevant for Indonesia and Philippines, being the most active sovereign issuers in the region in external debt markets. Even as US rates moved higher, spike in domestic yields and need to build spot reserves led these countries to ramp-up external debt issuance. Adjusting for these flows provides a clearer picture of underlying market flows and smoothing operations by the CBs (See Exhibit 5 and Exhibit 6). On the other hand, Malaysia has stricter limits on external funding and usually issues to refinance maturities. Thailand is generally averse to taking currency risks on external funding.

Exhibit 5: Indonesia has consistently issued external debt this year to support reserves and cap domestic funding needs.
Indonesia reserves and monthly changes (adjusted for estimated valuation and sovereign debt issuance), forwards and net external debt issuance (USD Bn) (Dec'21-Jun'26)



Source: BofA Global Research, Bloomberg

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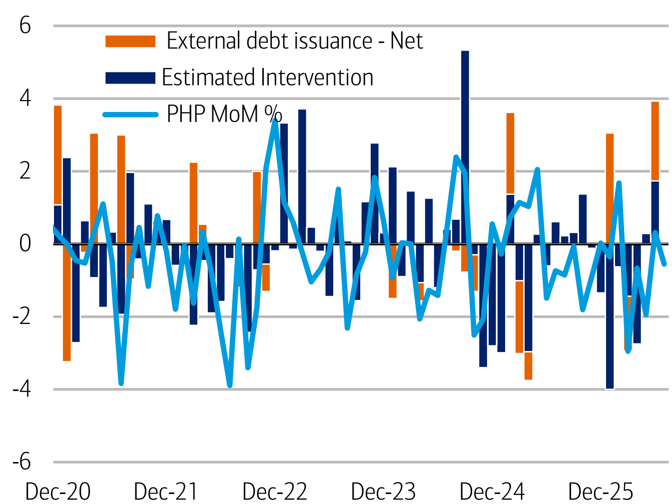
Exhibit 6: Philippines government's external funding is key part of capital inflows to fund CA deficit and support BoP.
Philippines monthly estimates of FX intervention, net external debt issuance (USD Bn) and PHP monthly return (%) (Dec'20 – Jun'26)



Source: BofA Global Research, Bloomberg

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FX deposits – within reach as augmented reserves buffer

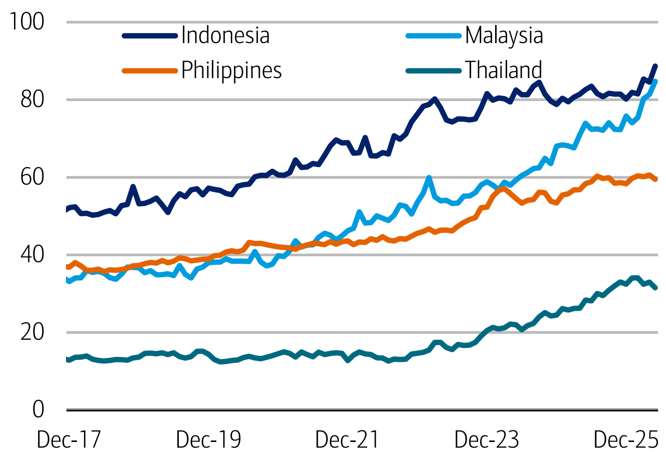
FX deposits accumulation - a sign of capital flight

Demand for FX deposits over the last few years has been a consistent headwind to regional currencies, including for those countries with BoP surplus and stable fundamentals. Narrower rate-differentials vs US rates and USD strength made this trend more acute during 2022-2023 Fed hiking cycle. Since then, FX deposits plateaued during 2024-25 despite Fed cutting cycle and USD weakness. That may have been due to narrow rate differentials as regional CBs followed Fed in cutting rates.

Last year, tariff related uncertainty or political uncertainty in some countries may have kept corporates more defensive in their outlook. FX deposits have seen a sharp revival this year in Indonesia and Malaysia (See Exhibit 7). Indonesia's FX deposits could be partly due to regulatory changes aimed at improving repatriation from natural resources sector exporters. Surge in Malaysia's FX deposits is surprising given heightened scrutiny from BNM (See Exhibit 8). Thailand saw a drawdown of FX deposits as THB weakened.

Exhibit 7: FX deposits have increased sharply recently in Indonesia and Malaysia.

FX deposits (USD Bn) across ASEAN-4 (Dec'17-May'26)



Source: BofA Global Research, Bloomberg

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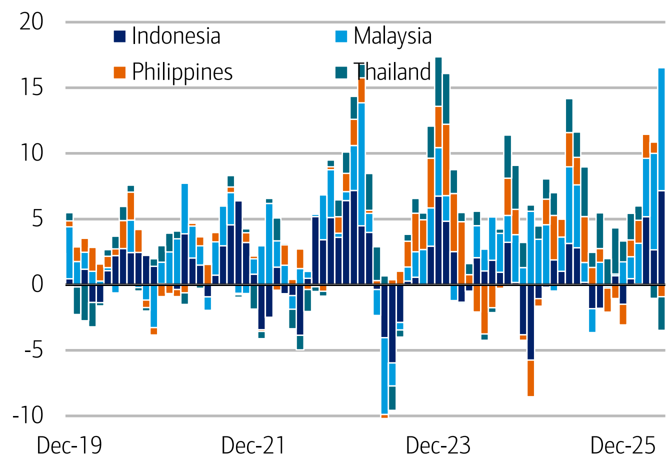
Exhibit 8: Malaysia continued accumulating FX deposits despite CB scrutiny.

FX deposits 3-month rolling change (USD Bn) across ASEAN (Dec'19-May'26)



Source: BofA Global Research, Bloomberg

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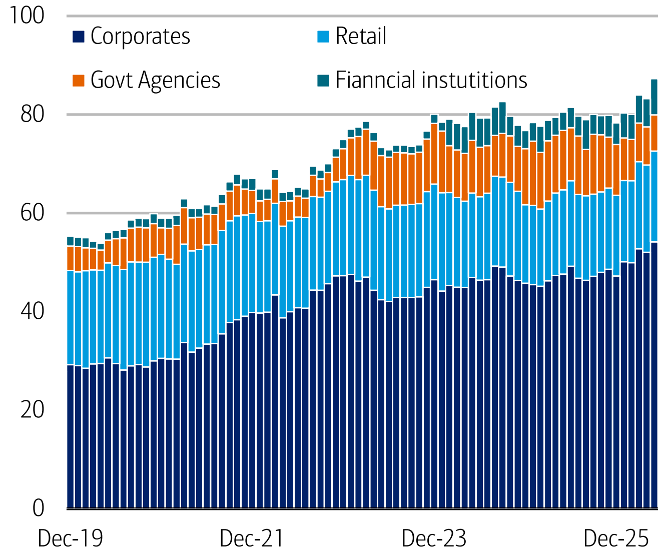
…leading to scrutiny on corporate flows

Unsurprisingly, that has resulted in heightened focus on corporate flows which account for bulk of FX deposits across the region (See Exhibit 9 and Exhibit 10). Most of the region has regulatory requirements for repatriation of export proceeds (ranging between 3 to 12 months), but without any conversion requirement as such. Malaysia has previously mandated conversion during Oct'16 to Apr'21, but has modified its approach to moral-suasion or window guidance since 2024. Indonesia floated 50% conversion requirement in 2012 but it was never enforced and proposal was subsequently removed. Till date, Indonesia continues to focus on improving repatriation which only provides indirect support to IDR and may have led to even larger onshore corporate FX deposits.

Philippines and Thailand have gradually liberalized capital account over the years by raising outflow limits and exemptions for conversion. Thailand has rather utilized regulatory measures to counter THB appreciation pressures by liberalizing outflows and imposing limits on inflows or FX positions.

Exhibit 9: Bulk of the increase in FX deposits through corporates
Indonesia FC deposits by holder (USD Bn) (Dec'19-May'26)



Source: BofA Global Research, Bloomberg

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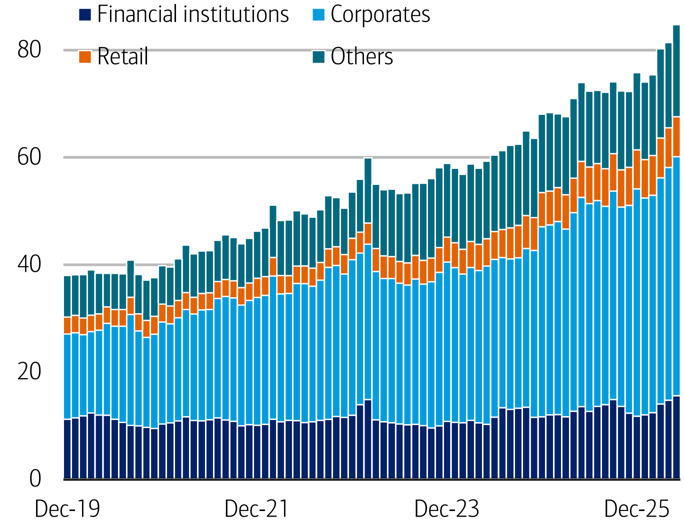
Exhibit 10: Corporates continue to accumulate FX deposits
Malaysia FC deposits by holder (USD Bn) (Dec'19-May'26)



Source: BofA Global Research, Bloomberg

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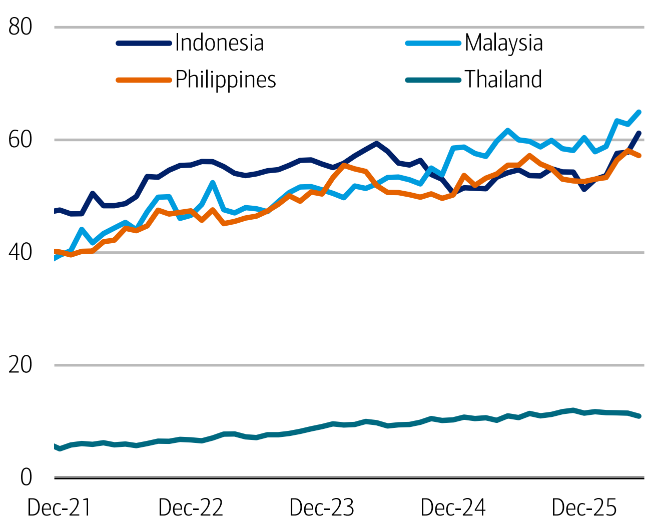
… but can be tapped via FX swaps when needed

FX deposits in onshore banks are often seen as extended or distributed FX reserves available for the economy to meet FX liabilities. That provides additional buffer that reduces need for larger reserves on the CB balance sheets. These can be tapped by CBs, via FX bills or swaps, to shore-up official spot reserves if needed. Countries with deep financial markets and banking sector with international presence, like Singapore and Malaysia, are also able to raise USD funding to meet fluctuations in FX flows.

Exhibit 11: Onshore FX deposits often seen as augmenting official reserves to meet any external liabilities
FX deposits as % of spot reserves (Dec'21-May'26)



Source: BofA Global Research, Bloomberg

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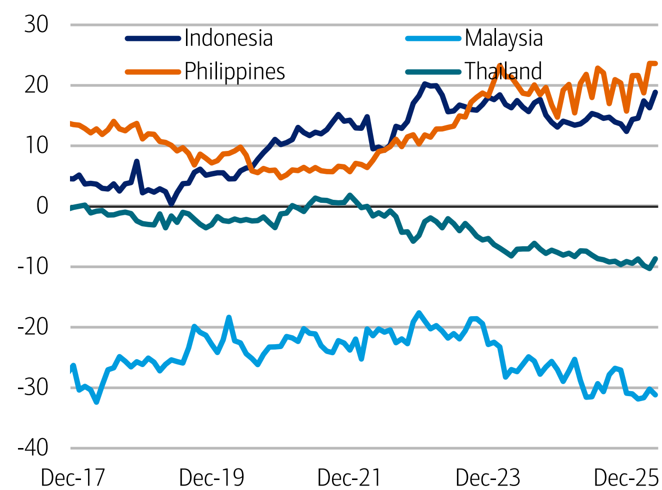
Exhibit 12: Indonesia and Philippines have large net deposits (adjusted for loans) while banks in Malaysia/Thailand have net foreign assets.
Banks' net foreign liabilities (inverse of net foreign assets or deposits - loans) as % of FX reserves (Dec'17-May'26)



Source: BofA Global Research, Bloomberg

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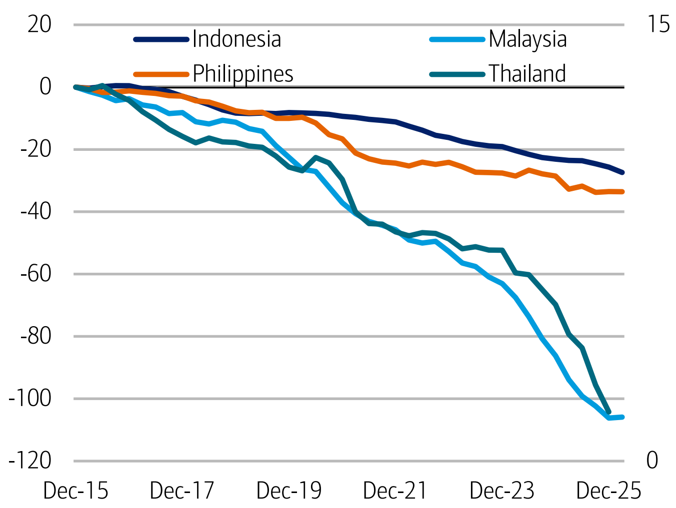
Capital flight pointers in BoP

Apart from onshore build-up of FX deposits, BoP categories that capture flows from domestic investors or unrecorded transactions (errors & omissions) can also throw some light on capital flight trends. The data indicates long-term trends with low-frequency and lagged updates. We focus on three channels below that show-up in the financial account categories.

Domestic portfolio investments

Portfolio outflows by domestic investors is usually driven by either diversification needs and/or lack of investment opportunities within the source country. Unsurprisingly, this channel is most prominent for countries with large CA surpluses but limited domestic absorption capacity. Malaysia and Thailand fit the bill and have, in fact, seen the largest outflows (See Exhibit 13 and Exhibit 14). That can be attributed to more developed onshore investor base (including large pension and insurance funds), need to recycle long-term current account surpluses and low domestic yields (due to abundant savings). For Indonesia and Philippines, outflows via this channel are also consistent but smaller in magnitude.

Exhibit 13: Malaysia and Thailand's portfolio outflows picked-up sharply over last two years.
Cumulative domestic portfolio flows in BoP over last 10 years (USD Bn) (Dec'15-Mar'26)



Source: BofA Global Research, Bloomberg

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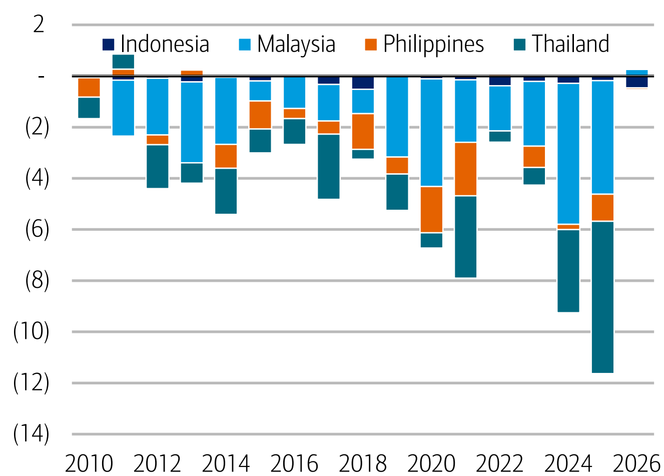
Exhibit 14: Malaysia and Thailand see largest domestic portfolio outflows but limited FX impact recently implies high hedge ratio.
Annual domestic portfolio outflows from BoP (% of GDP) (2010-2026 1Q annualized)



Source: BofA Global Research, Bloomberg

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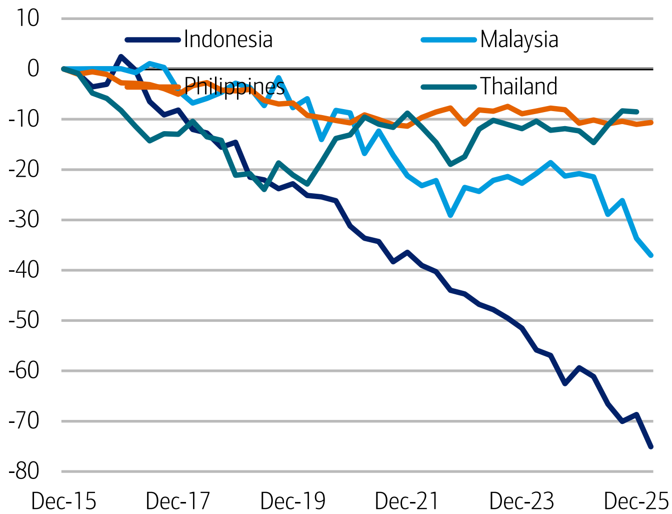
Other investment for deposit flight

Second channel where outflows show-up is via "other investment" or banking system accounts. This may be via deposits due to lack of repatriation of export earnings or other outflows including offshore corporate loans. Indonesia's capital flight via this channel is quite apparent in terms of both historical consistency and scale compared to rest of the region (See Exhibit 15). Indonesia's high interest-rates over the last decade have had little success in stopping this trend.

Malaysia also faces similar outflows and stands-out when measured as a proportion of GDP (See Exhibit 16). Malaysia's well-developed financial sector with international presence and ease of transaction might as well have facilitated this trend. Thailand and Philippines have seen mixed and sideways trends over the last few years.

Exhibit 15: Indonesia and Malaysia have seen largest deposit outflows
Cumulative domestic deposit and loan flows in BoP over last 10 years (USD Bn) (Dec'15-Mar'26)



Source: BofA Global Research, Bloomberg

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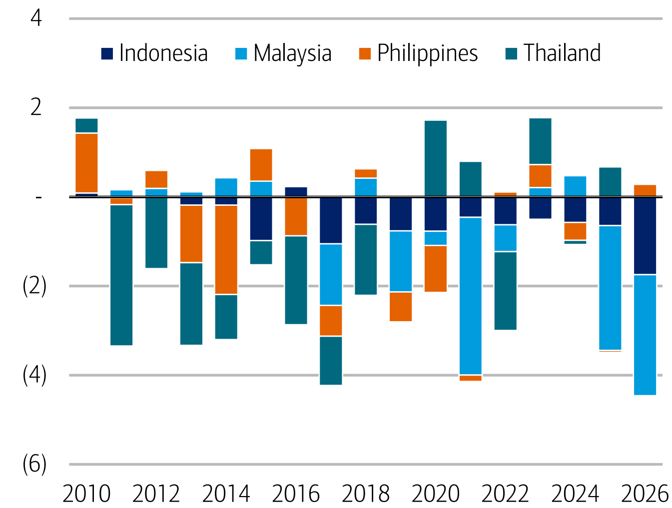
Exhibit 16: Outflows from Indonesia increased this year in 1Q.
Annual domestic deposit and loan outflows from BoP (% of GDP) (2010-2026 1Q annualized)



Source: BofA Global Research, Bloomberg

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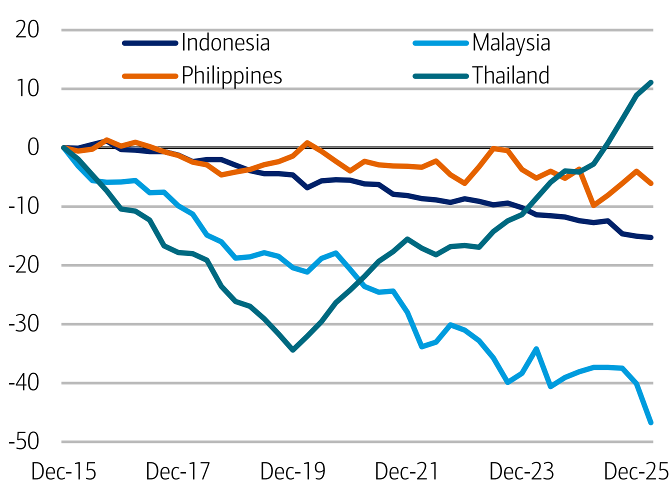
Errors and omissions – Malaysia stands out in scale and consistency

Lastly, unaccounted flows in BoP in "errors and omissions" could be linked to either capital flight via cash transactions (higher chances for countries with large land borders or tourism) or discrepancies in recording large goods trade volumes. These conditions apply for both Malaysia and Thailand, as seen in the scale of these errors in their BoP.

While cumulative errors due to discrepancies should theoretically flatten out over the years, data suggests otherwise. Malaysia's errors show quite consistent outflows over the years (See Exhibit 17), apparently picking-up around political uncertainty. Thailand's errors have flipped into positive territory in 2020 and remain elevated (See Exhibit 18) despite stricter CB oversight that led to partial reclassification into trade and investment flows last year.

Exhibit 17: Indonesia and Malaysia have seen consistent negative errors (outflows) in BoP over the years.
Cumulative errors & omissions in BoP over last 10 years (USD Bn) (Dec'15-Mar'26)



Source: BofA Global Research, Bloomberg

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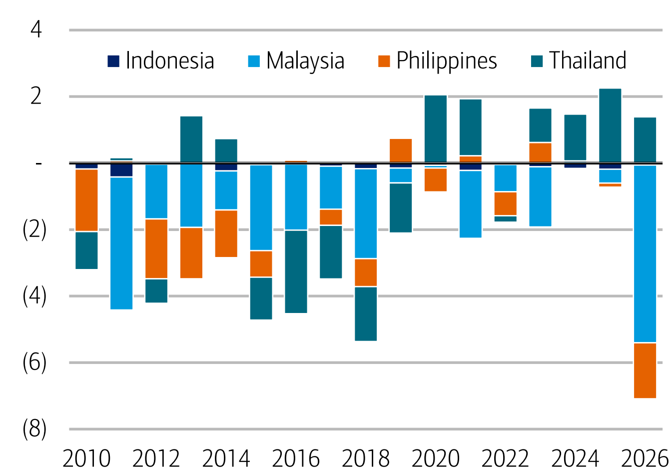
Exhibit 18: Malaysia's consistent outflows and Thailand's inflows since 2020 stand out.
Annual domestic deposit and loan outflows from BoP (% of GDP) (2010-2026 1Q annualized)



Source: BofA Global Research, Bloomberg

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